



**BAKER  
HUGHES**

|                                         |       |                                            |             |                                    |          |                                         |                  |                           |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
|-----------------------------------------|-------|--------------------------------------------|-------------|------------------------------------|----------|-----------------------------------------|------------------|---------------------------|------------------|---------------------------|--------|----------|--------------------|--------------------|-------------|--------------|---------------------|--------------------|----------|-----------|--|
| Rpt Date 15/Nov/2006                    |       | Well Name/No Bilabri D4                    |             | Section Name/No 12-1/4" Section #3 |          | Mud System SYN-TEQ (PARA)               |                  |                           |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Job# 1                                  |       | Spud Date                                  |             | MD 815.00 m                        |          | Progress 0.00 m                         |                  | Present Activity Test BOP |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Operator Peak Petroleum Indust. Limited |       | Company Rep Thomas G. May/ Peter Vermeulen |             | Contractor Dolphin Drilling Ltd    |          | Contractor Rep Stephen Milne/Troy Nolan |                  |                           |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Field/Lease Bilabri                     |       | Blk/Co/Parish OML - 122 / Nigeria          |             | Area Offshore                      |          | Country/State Nigeria                   |                  | Rig BULFORD DOLPHIN       |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Drilling Assembly                       |       |                                            |             | Casing                             |          | Volumes                                 | Pump Information |                           |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Bit Gauge in                            |       | Mfr                                        |             | Bit Model                          |          | OD in                                   | ID in            | Depth m                   | bbl              | Model                     |        | Liner in | Stroke in          | Eff %              | Vol/Stk bbl | Stk Rate SPM | Circ Rate USgal/min |                    |          |           |  |
| 0                                       |       |                                            |             |                                    |          |                                         | 19 1/2           | 172.50                    | Total Hole       | Continental Ensco FA-1600 |        | 6 1/2    | 12.00              | 97.0               | 0.1194      | 0            |                     |                    |          |           |  |
| Drill Collars                           |       | Drill Pipe                                 |             | 36                                 | 31 3/4   | 262.00                                  | 0                |                           |                  | Continental Ensco FA-1600 |        | 6 1/2    | 12.00              | 97.0               | 0.1194      | 0            |                     |                    |          |           |  |
| OD in                                   | ID in | Length m                                   | OD in       | ID in                              | Length m | 20                                      | 18 3/4           | 291.60                    | Active Pits      | Continental Ensco FA-1600 |        | 6 1/2    | 12.00              | 97.0               | 0.1194      | 0            |                     |                    |          |           |  |
|                                         |       |                                            |             |                                    |          | 13 3/8                                  | 12.415           | 792.00                    | 180              |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
|                                         |       |                                            |             |                                    |          |                                         | 12 1/4           | 815.00                    | Tot Active       |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
|                                         |       |                                            |             |                                    |          |                                         |                  |                           | 180              | Circulation Times         |        |          |                    |                    |             |              |                     |                    |          |           |  |
|                                         |       |                                            |             |                                    |          |                                         |                  |                           | In Storage       | Surface to Bit            |        | min/stks |                    | Total System       |             | min/stks     |                     |                    |          |           |  |
|                                         |       |                                            |             |                                    |          |                                         |                  |                           | 675              | Bottoms Up                |        | min/stks |                    |                    |             |              |                     |                    |          |           |  |
| Mud Properties                          |       |                                            |             |                                    |          | Max Ann Velocity                        |                  |                           | Hole Information |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Property                                |       |                                            | Fluid Spec  |                                    |          | 1                                       | 2                | 3                         | AV Riser         |                           | ft/min |          | Standpipe Pressure |                    | 0 psi       |              | Water Depth         |                    | 146.00 m |           |  |
| Sample From                             |       |                                            |             |                                    |          | Reserve                                 |                  |                           |                  | AV Casing                 |        | ft/min   |                    | Hole Flow          |             | USgal/min    |                     | Riser Booster Rate |          | USgal/min |  |
| Check Time                              |       |                                            |             |                                    |          | 10:30                                   |                  |                           |                  | AV Open Hole              |        | ft/min   |                    | Solids Analysis    |             |              |                     |                    |          |           |  |
| MD m                                    |       |                                            |             |                                    |          | 815.00                                  |                  |                           |                  | Vc Open Hole              |        | ft/min   |                    | Property           |             | 1            | 2                   |                    | 3        | 4         |  |
| TVD m                                   |       |                                            |             |                                    |          | 815.00                                  |                  |                           |                  | Vc Drill Pipe             |        | ft/min   |                    | LGS %              |             | 9.19         |                     |                    |          |           |  |
| Bit Depth m                             |       |                                            |             |                                    |          | 0.00                                    |                  |                           |                  | Min Ann Velocity          |        |          |                    | LGS lb/bbl         |             | 83.76        |                     |                    |          |           |  |
| Inc deg                                 |       |                                            |             |                                    |          | 0.09                                    |                  |                           |                  | AV Riser                  |        | ft/min   |                    | HGS %              |             | 4.16         |                     |                    |          |           |  |
| Density ppg                             |       |                                            | 10.00-10.50 |                                    |          | 10.30                                   |                  |                           |                  | AV Casing                 |        | ft/min   |                    | HGS lb/bbl         |             | 61.31        |                     |                    |          |           |  |
| Funnel Visc. sec/quart                  |       |                                            |             |                                    |          | 78.0                                    |                  |                           |                  | AV Open Hole              |        | ft/min   |                    | Avg Dens Sol sg    |             | 3.0989       |                     |                    |          |           |  |
| Test Temp degF                          |       |                                            |             |                                    |          | 85.0                                    |                  |                           |                  | Bit Information           |        |          |                    |                    |             |              |                     |                    |          |           |  |
| Rheol Temp degF                         |       |                                            |             |                                    |          | 120.0                                   |                  |                           |                  | Size                      |        |          |                    |                    |             |              |                     |                    |          |           |  |
| PV cP                                   |       |                                            |             |                                    |          | 41                                      |                  |                           |                  | Hours On Bit              |        |          |                    |                    |             |              |                     |                    |          |           |  |
| YP lbf/100ft^2                          |       |                                            |             |                                    |          | 23                                      |                  |                           |                  | Bit Number                |        |          |                    |                    |             |              |                     |                    |          |           |  |
| 10sec Gel lbf/100ft^2                   |       |                                            |             |                                    |          | 11                                      |                  |                           |                  | BHA Number                |        |          |                    | Rheology           |             |              |                     |                    |          |           |  |
| 10min Gel lbf/100ft^2                   |       |                                            |             |                                    |          | 20                                      |                  |                           |                  | Depth In                  |        |          |                    | 600 RPM            |             | 105          |                     |                    |          |           |  |
| Retort Water %                          |       |                                            |             |                                    |          | 32.0                                    |                  |                           |                  | Bit RPM                   |        |          |                    | 300 RPM            |             | 64           |                     |                    |          |           |  |
| Retort Base Fluid %                     |       |                                            |             |                                    |          | 53.0                                    |                  |                           |                  | WOB                       |        |          |                    | 200 RPM            |             | 48           |                     |                    |          |           |  |
| Retort Solids %                         |       |                                            |             |                                    |          | 15.0                                    |                  |                           |                  | Nozzles                   |        |          |                    | 100 RPM            |             | 35           |                     |                    |          |           |  |
| Corrected Solids %                      |       |                                            |             |                                    |          | 13.4                                    |                  |                           |                  | Bit Hydraulics            |        |          |                    | 6 RPM              |             | 15           |                     |                    |          |           |  |
| Oil:Water Ratio                         |       |                                            |             |                                    |          | 62:38                                   |                  |                           |                  | TFA                       |        |          |                    | 3 RPM              |             | 13           |                     |                    |          |           |  |
| Alk (Whole Mud-POM) cc/cc               |       |                                            |             |                                    |          | 1.40                                    |                  |                           |                  | Nozzle Vel                |        | ft/sec   |                    |                    |             |              |                     |                    |          |           |  |
| Cl (Whole Mud-Clom) cc/cc               |       |                                            |             |                                    |          | 42000                                   |                  |                           |                  | Bit Press Loss            |        | psi      |                    |                    |             |              |                     |                    |          |           |  |
| Ca (Whole Mud-Caom) cc/cc               |       |                                            |             |                                    |          | 0                                       |                  |                           |                  | HHP / Area                |        | HP/in^2  |                    | Hydraulic Analysis |             |              |                     |                    |          |           |  |
| Excess Lime lb/bbl                      |       |                                            |             |                                    |          | 1.8                                     |                  |                           |                  |                           |        |          |                    |                    |             |              |                     |                    |          |           |  |

# ADVANTAGE Daily Drilling Fluids Report - 10



INTEQ

|                                                |  |                                                   |  |                                           |  |                                                |  |
|------------------------------------------------|--|---------------------------------------------------|--|-------------------------------------------|--|------------------------------------------------|--|
| <b>Rpt Date</b> 15/Nov/2006                    |  | <b>Well Name/No</b> Bilabri D4                    |  | <b>Section Name/No</b> 12-1/4" Section #3 |  | <b>Mud System</b> SYN-TEQ (PARA)               |  |
| <b>Job#</b> 1                                  |  | <b>Spud Date</b>                                  |  | <b>MD</b> 815.00 m                        |  | <b>Progress</b> 0.00 m                         |  |
| <b>Operator</b> Peak Petroleum Indust. Limited |  | <b>Company Rep</b> Thomas G. May/ Peter Vermeulen |  | <b>Contractor</b> Dolphin Drilling Ltd    |  | <b>Contractor Rep</b> Stephen Milne/Troy Nolan |  |
| <b>Field/Lease</b> Bilabri                     |  | <b>Blk/Co/Parish</b> OML - 122 / Nigeria          |  | <b>Area</b> Offshore                      |  | <b>Country/State</b> Nigeria                   |  |
| <b>Rig</b> BULFORD DOLPHIN                     |  |                                                   |  |                                           |  |                                                |  |

| Solids Control Equipment |   |     |                |              |                        |                        |          |
|--------------------------|---|-----|----------------|--------------|------------------------|------------------------|----------|
| Name                     | # | Mfr | Hours<br>hours | Screen Sizes | Act Volume Lost<br>bbl | Res Volume Lost<br>bbl | Comments |
| CENTRIFUGE               | 1 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| CENTRIFUGE               | 2 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| DESANDER                 | 1 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| DESILTER                 | 1 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| MUD CLEANER              | 1 |     | 0.0            | 175, 210     | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 1 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 1 |     | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 2 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 2 |     | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 3 |     | 0.0            | 3 x 110      | 0.0                    | 0.0                    |          |
| SHALE SHAKER             | 3 |     | 0.0            |              | 0.0                    | 0.0                    |          |
| <b>Total Volume Lost</b> |   |     |                |              | 0                      | 0                      |          |

| Volumes       |     |                  |              |                      |                   |       |                     |
|---------------|-----|------------------|--------------|----------------------|-------------------|-------|---------------------|
| Additions bbl |     |                  | Losses bbl   |                      | Total Volumes bbl |       |                     |
| Mud Added     | 855 | Weight Materials | Downhole     | Left In Pit          | Starting Volume   |       | Riser w/o Pipe      |
| Brine         |     | Water            | Cased Off    | Trip Losses          | Daily Additions   | 855   | Casing w/o Pipe     |
| Base Fluid    |     | Product          | Left In Hole | Injected             | Daily Losses      |       | Open Hole w/o Pipe  |
| Recycled      |     | Other            | Discharged   | Spill To Environment | Ending Volume     | 855.0 | String Displacement |
|               |     |                  | SCE          | Onshore Disposal     | Net Change        | 855.0 | String Capacity     |
|               |     |                  | Evaporation  | Returned             |                   |       | Total Hole w/ Pipe  |
|               |     |                  | Other Losses |                      |                   |       | Total Active        |
|               |     |                  |              |                      |                   |       | 180.0               |
|               |     |                  |              |                      |                   |       | Total Reserve       |
|               |     |                  |              |                      |                   |       | 675.0               |

| IADC Hours                  |           |                           |      |                           |           |                   |  |
|-----------------------------|-----------|---------------------------|------|---------------------------|-----------|-------------------|--|
| Run/Pull Riser              | 2         | Nipple Up/Nipple Down BOP | 16   | Test BOP                  | 6         |                   |  |
| <b>Primary Currency USD</b> |           |                           |      | <b>Secondary Currency</b> |           | <b>Totals USD</b> |  |
| Daily Product Cost          | 0.00      | Daily Product Cost        | 0.00 | Primary Product           | 121607.72 |                   |  |
| Daily Tax                   | 0.00      | Daily Tax                 | 0.00 | Secondary Product         | 0.00      |                   |  |
| Debit/Credit                | 0.00      | Debit/Credit              | 0.00 | Primary Engineering       | 8606.25   |                   |  |
| Daily Engineering Cost      | 900.00    | Daily Engineering Cost    |      | Secondary Engineering     | 0.00      |                   |  |
| Total Daily Cost            | 900.00    | Total Daily Cost          | 0.00 | Primary Total             | 130213.97 |                   |  |
| Total Inventory Value       | 342472.70 | Total Inventory Value     | 0.00 | Secondary Total           | 0.00      |                   |  |
|                             |           |                           |      | Deck Load                 | 515109 lb |                   |  |

| Products and Services    |          |       |                |          |          |      |           |       |                                           |                                            |  |
|--------------------------|----------|-------|----------------|----------|----------|------|-----------|-------|-------------------------------------------|--------------------------------------------|--|
| Product                  | Units    | Start | Transferred In | Received | Returned | Lost | Daily Use | Final | Active Ending<br>Concentrations<br>lb/bbl | Reserve Ending<br>Concentrations<br>lb/bbl |  |
| Bulk                     |          |       |                |          |          |      |           |       |                                           |                                            |  |
| MIL-BAR                  | 1000 kg  | 152   |                |          |          |      |           | 152   | 108.47                                    | 108.47                                     |  |
| Oil Based Product        |          |       |                |          |          |      |           |       |                                           |                                            |  |
| MIL-LIME                 | 25 kg    | 40    |                |          |          |      |           | 40    |                                           |                                            |  |
| OMNI-COTE                | 55 USgal | 4     |                |          |          |      |           | 4     |                                           |                                            |  |
| PARA-TEQ                 | 1 bbl    | 469   |                |          |          |      |           | 469   |                                           |                                            |  |
| Water Based Product      |          |       |                |          |          |      |           |       |                                           |                                            |  |
| CAUSTIC SODA             | 25 kg    | 72    |                |          |          |      |           | 72    |                                           |                                            |  |
| MIL-GUAR                 | 25 kg    | 330   |                |          |          |      |           | 330   | 0.69                                      | 0.69                                       |  |
| MIL-PAC R                | 25 kg    | 73    |                |          |          |      |           | 73    | 0.40                                      | 0.40                                       |  |
| MIL-PAC LV               | 25 kg    |       |                |          |          |      |           |       | 2.26                                      | 2.26                                       |  |
| NEW-DRILL PLUS           | 25 kg    | 17    |                |          |          |      |           | 17    | 1.31                                      | 1.31                                       |  |
| POTASSIUM CHLORIDE BRINE | 1 bbl    |       |                |          |          |      |           |       | 265.81                                    | 265.81                                     |  |
| SODA ASH                 | 50 kg    | 29    |                |          |          |      |           | 29    | 1.07                                      | 1.07                                       |  |
| Xanthan Gum              | 25 kg    | 87    |                |          |          |      |           | 87    | 1.19                                      | 1.19                                       |  |
| XCIDE 102                | 55 USgal | 2     |                |          |          |      |           | 2     | 0.01                                      | 0.01                                       |  |
| LCM                      |          |       |                |          |          |      |           |       |                                           |                                            |  |
| CALCIUM CARBONATE - FINE | 25 kg    |       |                |          |          |      |           |       | 4.52                                      | 4.52                                       |  |
| CALCIUM CARBONATE - MED  | 25 kg    | 40    |                |          |          |      |           | 40    | 2.26                                      | 2.26                                       |  |
| KWIKSEAL - MEDIUM        | 25 kg    | 35    |                |          |          |      |           | 35    |                                           |                                            |  |
| MIL-PLUG FINE            | 25 kg    | 56    |                |          |          |      |           | 56    |                                           |                                            |  |
| Other                    |          |       |                |          |          |      |           |       |                                           |                                            |  |
| BLACK MAGIC SF T         | 25 kg    | 120   |                |          |          |      |           | 120   |                                           |                                            |  |
| SAW DUST                 | 25 kg    | 29    |                |          |          |      |           | 29    |                                           |                                            |  |

|                                                       |                                           |                          |                                         |                                     |                                 |                                         |                                         |               |
|-------------------------------------------------------|-------------------------------------------|--------------------------|-----------------------------------------|-------------------------------------|---------------------------------|-----------------------------------------|-----------------------------------------|---------------|
| <b>BHDF Fluids Rep</b><br>Waboso Peter / Okomayin Ayo | <b>BHDF Rep Phone</b><br>234-803-402-0440 | <b>Warehouse</b><br>Onne | <b>Warehouse Phone</b><br>234-84-462609 | <b>Coordinator</b><br>Lawson Ogaree | <b>Daily Cost</b><br>900.00 USD | <b>Cumulative Cost</b><br>130213.97 USD | <b>Inventory Value</b><br>342472.70 USD | <b>Page 2</b> |
|-------------------------------------------------------|-------------------------------------------|--------------------------|-----------------------------------------|-------------------------------------|---------------------------------|-----------------------------------------|-----------------------------------------|---------------|

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